

# Silfin Partnership

Investment Fund (ZAR)

MINIMUM DISCLOSURE DOCUMENT

Quarterly Investor Letter • Q2 2026 • 30 June 2026

## Partnership Strategy

I look for exceedingly high-quality companies and purchase them as large, concentrated positions. I define the best businesses as ones that have dominant market positions, high barriers to entry, deeply entrenched brand names and distribution, cash-rich balance sheets, scalability and operating leverage, organic revenue growth through volume and pricing, and predictably high returns on R&D and CAPEX. These businesses are typically gatekeepers, monopolies, or toll booths — usually the largest or second largest in their industry — and their returns are highly predictable and repeatable.

## Partnership Objective

The goal of the partnership is to create long-term wealth for investors by concentrating capital in our best investment ideas. The fund aims to deliver industry-leading long-term investment growth while assuming moderate levels of risk. The historic risk indicators of the Partnership are comparable to those of traditional Global High Equity Funds.

## What does the partnership invest in?

The fund invests across a range of global asset classes, predominantly listed equities, with the ability to hold bonds, listed property, cash, and cash equivalents. Geographic exposure is primarily developed markets, accessed either directly or through low-cost index vehicles.

## Who should invest in this fund?

- You are looking for exceptional long-term capital growth.
- You are comfortable assuming a moderate to high level of market risk.
- You are investing for at least seven years.

### Key Facts

Risk Profile **Higher Risk • Higher Reward**



Managing Partner **Henrico Silvis**

Inception **16 October 2023**

Benchmark **ACWI & 10% p.a.**

Fund Status **Open**

Reporting Period **01 Apr - 30 Jun 2026**

Base Currency **ZAR**

Income Distribution **N/A**

Number of Holdings **6**

Unit Value (30 Jun) **R142 448**

Issue Date **11 July 2026**

*Unit value and returns are stated net and are unaudited, based on broker statements and internal records as at 30 June 2026.*

## Quarterly Update

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The second quarter of 2026 was a quarter of recovery. The Partnership returned **+5.21%** over the three months, lifting the unit value from R135 394 at the end of March to **R142 448** at 30 June. That advance recovered most of the ground lost in a difficult first quarter and brought the cumulative return since inception back to **+42.45%**, comfortably ahead of the 10% per annum objective, which stands at +29.41% on the same since-inception basis.

Global equity markets rebounded firmly over the quarter. After the tariff- and geopolitics-driven selloff that defined the first quarter, sentiment turned decisively as trade tensions cooled, the conflict in the Middle East moved toward de-escalation, and oil prices eased. The MSCI ACWI rose roughly 9.4% in U.S. dollar terms — one of its strongest quarters in recent years. For a rand-based investor, however, most of that gain was absorbed by currency. The rand strengthened by approximately 4.9% against the dollar over the quarter, reversing the tailwind that had flattered the benchmark comparison in Q1. Translated into rand, the ACWI returned only about +4.3%, and measured against that, the Partnership more than held its own.

The quarter's path was anything but a straight line. April was exceptional: the portfolio gained **+11.02%** as the large-cap quality-growth names that had been indiscriminately sold in Q1 recovered sharply. May added a further **+1.67%**. June then gave back **−6.79%** as capital rotated out of the mega-cap technology names that anchor this portfolio and into semiconductor and AI-hardware stocks — a reminder that concentrated portfolios move in both directions with force.

Against that recovery I used the quarter to concentrate the portfolio meaningfully. Continuing the direction of travel set in the first quarter, I closed four positions — Uber, Costco, Moody's, and S&P Global — and wound down the residual Invesco QQQ holding. The proceeds, together with the cash balance of roughly 12% that had been held at the end of the first quarter, were redeployed into Microsoft, Meta, and Amazon. All three are businesses I already owned and understand well, and each offered what I judged to be a more compelling risk-reward than the positions I exited. The result is a leaner, fully-invested book with no cash drag at quarter-end.

At quarter-end the portfolio holds **six positions**. The Satrix Nasdaq-100 tracker (STXNDQ) remains the largest single line at roughly 30% of the book, followed by Microsoft — now the second-largest position at close to 25% after this quarter's additions — then Amazon, Alphabet, and Meta, with Netflix the smallest holding. This is the most concentrated the Partnership has been since inception, which is a deliberate expression of conviction rather than an accident of price movement.

A word on the drawdown. The fund ended June roughly **7% below** its July 2025 peak of R153 370 per unit — a marked recovery from the roughly 13% peak-to-trough decline reached in February, which remains the deepest drawdown the Partnership has experienced since inception. As I wrote last quarter, declines of this magnitude are an inherent feature of a concentrated global equity portfolio, not a malfunction. What matters is the quality of the underlying earnings streams and the price we pay for them, and on both counts I remain confident.

Looking forward, my approach is unchanged: earnings power, balance sheet quality, the judgement of management, and price relative to intrinsic value remain the only variables I care to forecast. Macro forecasting — tariffs, elections, oil, rates — remains a loser's game, and I have no interest in playing it. My commitment to you is simply to own great businesses at reasonable prices and to let time do the work it has always done.

Thank you, as always, for your continued trust and partnership.

**Henrico Silvis**

Managing Partner, Silfin Partnership

## Performance

### Returns & Performance

| Period                              | Partnership    | 10% p.a.       | MSCI ACWI*    |
|-------------------------------------|----------------|----------------|---------------|
| 1 Month (June)                      | −6.79%         | +0.80%         | +0.5%         |
| 3 Months (Q2 2026)                  | +5.21%         | +2.41%         | +9.4%         |
| 6 Months                            | −0.56%         | +4.88%         | +9.9%         |
| 12 Months                           | −4.12%         | +10.00%        | +22.9%        |
| Year to Date                        | −0.56%         | +4.88%         | +9.9%         |
| <b>Since Inception (cumulative)</b> | <b>+42.45%</b> | <b>+29.41%</b> | <b>+44.5%</b> |
| <b>Since Inception (annualised)</b> | <b>+13.97%</b> | <b>+10.00%</b> | <b>+14.6%</b> |

\*MSCI ACWI figures are shown in USD as net total returns, derived from index performance data as at 30 June 2026. The approximate ZAR-equivalent Q2 2026 return after currency translation is +4.3%, reflecting rand strength of roughly 4.9% against the U.S. dollar over the quarter.

### Risk Measures

| Risk Measure                           | Partnership | 10% p.a. | MSCI ACWI* |
|----------------------------------------|-------------|----------|------------|
| Maximum Cumulative Drawdown            | −13.28%     | 0.00%    | −10.70%    |
| Highest Rolling 12-Month Return        | +31.56%     | +10.00%  | +23.95%    |
| Lowest Rolling 12-Month Return         | −6.71%      | +10.00%  | −8.66%     |
| % of Months Positive (since inception) | 57.6%       | 100%     | 63.3%      |
| Best Month                             | +12.57%     | +0.80%   | +8.12%     |
| Worst Month                            | −8.78%      | +0.80%   | −7.18%     |

Partnership risk measures are unchanged from Q1 2026: the Q2 rebound set no new drawdown, best- or worst-month, or rolling-return records, and the February 2026 trough remains the deepest since inception. MSCI ACWI risk figures reflect the index through the current measurement period.

## Monthly Returns (%)

| Year | Jan   | Feb   | Mar   | Apr    | May   | Jun   | Jul   | Aug   | Sep   | Oct   | Nov    | Dec   | YTD    |
|------|-------|-------|-------|--------|-------|-------|-------|-------|-------|-------|--------|-------|--------|
| 2023 | —     | —     | —     | —      | —     | —     | —     | —     | —     | −5.34 | +12.57 | +2.42 | +9.13  |
| 2024 | +4.63 | +6.60 | −1.09 | −4.32  | +4.65 | +3.17 | −1.65 | +0.61 | −0.55 | +1.31 | +8.44  | +5.02 | +29.96 |
| 2025 | +4.36 | −3.68 | −8.78 | +3.19  | +4.94 | +5.49 | +3.24 | −1.62 | −1.71 | +3.21 | −2.26  | −4.25 | +1.00  |
| 2026 | −1.36 | −5.87 | +1.79 | +11.02 | +1.67 | −6.79 | —     | —     | —     | —     | —      | —     | −0.56  |

## Portfolio Composition

Approximate weights at 30 June 2026. Positions sorted by market value. The portfolio was concentrated from eleven positions to six over the quarter and holds no cash at period-end.

| Holding      | Description                 | Weight |
|--------------|-----------------------------|--------|
| STXNDQ       | Satrix Nasdaq-100 ETF (JSE) | 30.4%  |
| MSFT         | Microsoft Corporation       | 24.9%  |
| AMZN         | Amazon.com, Inc.            | 14.3%  |
| GOOGL        | Alphabet Inc. Class A       | 12.9%  |
| META         | Meta Platforms, Inc.        | 12.5%  |
| NFLX         | Netflix, Inc.               | 5.0%   |
| Cash & other | Money-market and settlement | 0.0%   |

## Terms

### ACWI (MSCI All Country World Index)

A global stock market index covering large- and mid-cap stocks from both developed and emerging markets across approximately 50 countries.

### Maximum Drawdown

The largest peak-to-trough decline in unit value over the measurement period.

### CAPEX (Capital Expenditure)

Money spent on acquiring or maintaining long-term assets like buildings, equipment, or land.

### R&D (Research and Development)

Company activities focused on creating or improving products and services through innovation and technical research.

### YTD (Year to Date)

The period from the start of the current calendar year up to the reporting date.

**Important Information.** This document has been prepared for information purposes for existing and prospective partners of the Silfin Partnership. Past performance is not a reliable indicator of future results. Unit values can go down as well as up, and investors may not recover the full amount initially invested. The fund is managed on a concentrated basis and is therefore expected to exhibit higher volatility than a diversified global equity index. This report is not a solicitation to invest, nor does it constitute financial, tax or legal advice. Figures are unaudited and based on broker statements and internal records as at 30 June 2026.